

Shuanghuan Driveline 002472.SZ 002472 CH

EQUITY: TECHNOLOGY

2Q26F preview

EV and construction drive growth; ICE decline narrowed in 2Q26F; robotics and Semi gradually kick-in in 2H26F

2Q26F to improve as NEV and construction machinery drive growth

For 2Q26F, we expect Shuanghuan to deliver solid revenue growth: i) with new energy vehicle (NEV) revenue up 10-20% y-y, as April was flat but May–June turned positive and the June coaxial-gear ramp further added momentum; ii) internal combustion engine (ICE) gears should see the decline narrow to single digits in 2Q26F from 20–30% in 1Q26, aided by a diversified customer base; we expect a further narrowing in 2H26F and deliver a high-single-digit full-year decline; iii) commercial-vehicle sales look broadly flat y-y, with Tesla (TSLA US, Not rated) Semi commencing and a slight full-year sales contribution likely; iv) construction-machinery likely sustained 20–30% growth into 2Q26F; v) Intelligent Actuator sales tracked slightly below our expectation (~CNY1.05bn vs previous estimated CNY1.1–1.2bn) on flat robot-vacuum share. In addition, 2Q26F gross margin is unlikely to exceed 1Q26 on mix. We view full-year financials as broadly on guidance.

Robot client at ~CNY6,000 content value; capacity to likely scale out

Regarding robotics, Shuanghuan is positioning itself as a beneficiary through robotics firms' shipment ramp-up. For one robotics client: i) we expect Shuanghuan to ship six RV-type (rotary vector) reducers at an average selling price (ASP) of roughly CNY1,000 each; ii) for the next-generation robot, we expect Shuanghuan to supply cycloidal reducers with six units per robot. On capacity, we expect Shuanghuan may further expand capacity to accommodate the anticipated demand against the scale-up backdrop (*Optimus ramps; China scales up as cost curves bend lower*). Furthermore, despite the pull-ins from robotics firms, we remain cautious that shifting technical roadmaps could still alter joint content over time.

Maintain Buy and TP of CNY50: 2026F growth in-line, robotics and Semi kick-in

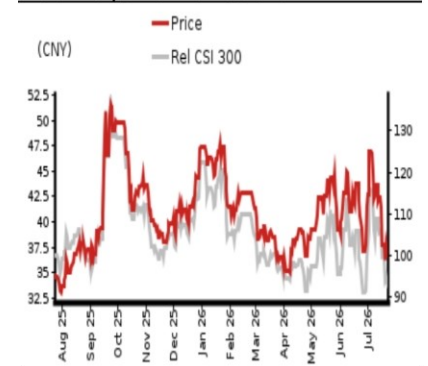
We maintain our Buy rating and TP of CNY50, as: i) 2026F growth looks broadly in line with guidance, and ii) robotics and Tesla Semi may start contributions in the long term. We raise 2027/28F EPS to CNY1.99/2.34 from CNY1.96/2.25. Our TP implies 25x 2027F P/E (previously: 29x 2026F P/E), largely in-line with its historical average at 26x, supported by a 16.5% EPS CAGR in 2026–28F. The stock currently trades at 18x 2027F P/E. **Downside risks:** slower shipment ramp-up schedules of robotics firms, lackluster shipments of construction machinery in 4Q26F.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	9,112	9,920	10,204	11,045	12,082	12,224	14,050
Reported net profit (mn)	1,262	1,449	1,455	1,660	1,693	1,905	1,989
Normalised net profit (mn)	1,262	1,449	1,455	1,660	1,693	1,905	1,989
FD normalised EPS	1.48	1.71	1.71	1.96	1.99	2.25	2.34
FD norm. EPS growth (%)	22.9	14.9	15.3	14.5	16.4	14.8	17.5
FD normalised P/E (x)	23.8	–	20.7	–	17.7	–	15.1
EV/EBITDA (x)	13.2	–	11.9	–	10.2	–	8.6
Price/book (x)	2.9	–	2.4	–	2.1	–	1.8
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	12.8	13.6	12.7	13.9	12.6	14.1	12.7
Net debt/equity (%)	8.6	7.0	3.9	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Remains	CNY 50.00
Closing price 24 July 2026	CNY 35.36
Implied upside	+41.4%
Market Cap (USD mn)	4,436.2
ADT (USD mn)	252.2

Relative performance chart



Source: LSEG, Nomura

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Key data on Shuanghuan Driveline

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-11.7	-3.5	1.8	M cap (USDmn)	4,436.2
Absolute (USD)	-11.3	-2.6	7.4	Free float (%)	73.2
Rel to CSI 300	-7.4	-2.6	-12.2	3-mth ADT (USDmn)	252.2

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	8,781	9,112	10,204	12,082	14,050
Cost of goods sold	-6,585	-6,621	-7,398	-8,790	-10,194
Gross profit	2,196	2,491	2,805	3,292	3,857
SG&A	-947	-1,030	-1,123	-1,341	-1,560
Employee share expense	0	0	0	0	0
Operating profit	1,249	1,461	1,682	1,951	2,297
EBITDA	1,984	2,339	2,572	2,879	3,243
Depreciation	-736	-878	-860	-900	-920
Amortisation	0	0	-30	-28	-26
EBIT	1,249	1,461	1,682	1,951	2,297
Net interest expense	-38	-47	-35	-33	-30
Associates & JCEs					
Other income	-7	91	70	80	80
Earnings before tax	1,203	1,505	1,717	1,998	2,347
Income tax	-147	-180	-206	-240	-282
Net profit after tax	1,057	1,325	1,511	1,758	2,065
Minority interests	-33	-64	-56	-65	-76
Other items					
Preferred dividends					
Normalised NPAT	1,024	1,262	1,455	1,693	1,989
Extraordinary items					
Reported NPAT	1,024	1,262	1,455	1,693	1,989
Dividends					
Transfer to reserves	1,024	1,262	1,455	1,693	1,989
Valuations and ratios					
Reported P/E (x)	29.3	23.8	20.7	17.7	15.1
Normalised P/E (x)	29.3	23.8	20.7	17.7	15.1
FD normalised P/E (x)	29.3	23.8	20.7	17.7	15.1
Dividend yield (%)	-	-	-	-	-
Price/cashflow (x)	17.8	12.6	14.4	11.9	10.3
Price/book (x)	3.2	2.9	2.4	2.1	1.8
EV/EBITDA (x)	15.7	13.2	11.9	10.2	8.6
EV/EBIT (x)	25.0	21.2	18.2	15.1	12.1
Gross margin (%)	25.0	27.3	27.5	27.3	27.4
EBITDA margin (%)	22.6	25.7	25.2	23.8	23.1
EBIT margin (%)	14.2	16.0	16.5	16.2	16.3
Net margin (%)	11.7	13.8	14.3	14.0	14.2
Effective tax rate (%)	12.2	11.9	12.0	12.0	12.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	11.7	12.8	12.7	12.6	12.7
ROA (pretax %)	9.4	9.5	9.8	10.4	11.2
Growth (%)					
Revenue	8.8	3.8	12.0	18.4	16.3
EBITDA	22.8	17.9	10.0	11.9	12.6
Normalised EPS	25.8	22.9	15.3	16.4	17.5
Normalised FDEPS	25.8	22.9	15.3	16.4	17.5

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,984	2,339	2,572	2,879	3,243
Change in working capital	-151	98	-716	-301	-232
Other operating cashflow	-152	-45	229	-62	-91
Cashflow from operations	1,681	2,391	2,085	2,516	2,920
Capital expenditure	-1,989	-2,069	-1,600	-1,600	-1,600
Free cashflow	-307	322	485	916	1,320
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-143	-5	-10	-10	
Inc in other LT liabilities	87	34	-10	-10	
Adjustments	27	-169	-29	20	20
CF after investing acts	-280	98	485	916	1,320
Cash dividends	-160	-421	-364	-423	-497
Equity issue	45	202	0	0	0
Debt issue					
Convertible debt issue					
Others	981	1,205	353	631	758
CF from financial acts	866	985	-10	208	261
Net cashflow	586	1,083	474	1,123	1,581
Beginning cash	822	1,407	2,490	2,965	4,089
Ending cash	1,408	2,491	2,965	4,089	5,669
Ending net debt	1,104	906	485	-639	-2,219

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,407	2,490	2,965	4,089	5,669
Marketable securities					
Accounts receivable	2,563	2,759	3,248	3,762	4,252
Inventories	2,031	2,226	2,644	3,056	3,455
Other current assets	802	965	1,002	1,183	1,378
Total current assets	6,803	8,440	9,859	12,089	14,754
LT investments					
Fixed assets	8,301	9,402	10,142	10,842	11,522
Goodwill	61	60	60	60	60
Other intangible assets	499	516	486	458	432
Other LT assets	202	345	350	360	370
Total assets	15,867	18,763	20,897	23,808	27,137
Short-term debt	1,983	3,122	3,200	3,200	3,200
Accounts payable	2,626	3,039	3,630	4,384	5,183
Other current liabilities	952	1,191	828	879	933
Total current liabilities	5,561	7,353	7,658	8,463	9,315
Long-term debt	529	274	250	250	250
Convertible debt					
Other LT liabilities	538	626	660	650	640
Total liabilities	6,628	8,253	8,568	9,363	10,205
Minority interest					
Preferred stock					
Common stock	847	850	850	850	850
Retained earnings	3,477	4,319	6,138	8,255	10,741
Proposed dividends					
Other equity and reserves	4,914	5,341	5,341	5,341	5,341
Total shareholders' equity	9,238	10,510	12,329	14,446	16,932
Total equity & liabilities	15,867	18,763	20,897	23,808	27,137
Liquidity (x)					
Current ratio	1.22	1.15	1.29	1.43	1.58
Interest cover	32.9	31.1	48.1	59.1	76.6
Leverage					
Net debt/EBITDA (x)	0.56	0.39	0.19	net cash	net cash
Net debt/equity (%)	12.0	8.6	3.9	net cash	net cash
Per share					
Reported EPS (CNY)	1.21	1.48	1.71	1.99	2.34
Norm EPS (CNY)	1.21	1.48	1.71	1.99	2.34
FD norm EPS (CNY)	1.21	1.48	1.71	1.99	2.34
BVPS (CNY)	10.90	12.37	14.51	17.00	19.92
DPS (CNY)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	106.5	106.6	107.4	105.9	104.4
Days inventory	112.6	117.3	120.1	118.3	116.9
Days payable	145.5	156.1	164.5	166.4	171.7
Cash cycle	73.5	67.8	63.1	57.8	49.5

Source: Company data, Nomura estimates

Company profile

Shuanghuan Driveline, a China-based company, principally engaged in the research, development, and production of gears, reducers, and related components for automobile, machinery, and robot segments.

Valuation Methodology

Our TP of CNY50 is based on 25x 2027F EPS of CNY1.99, largely in-line with its 14-years historical average P/E at 26x, which is supported by its 2026F-28F EPS CAGR at 16.5%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: 1) lower-than-expected gears demand in China; and 2) loss market share in key accounts.

ESG

Shuanghuan fits the ESG theme, as 1) its products are used in electric vehicles, which help protect the environment; 2) it sets up an ESG framework to invest in employees development, resources recycling, and corporate sustainable development.

Appendix A-1

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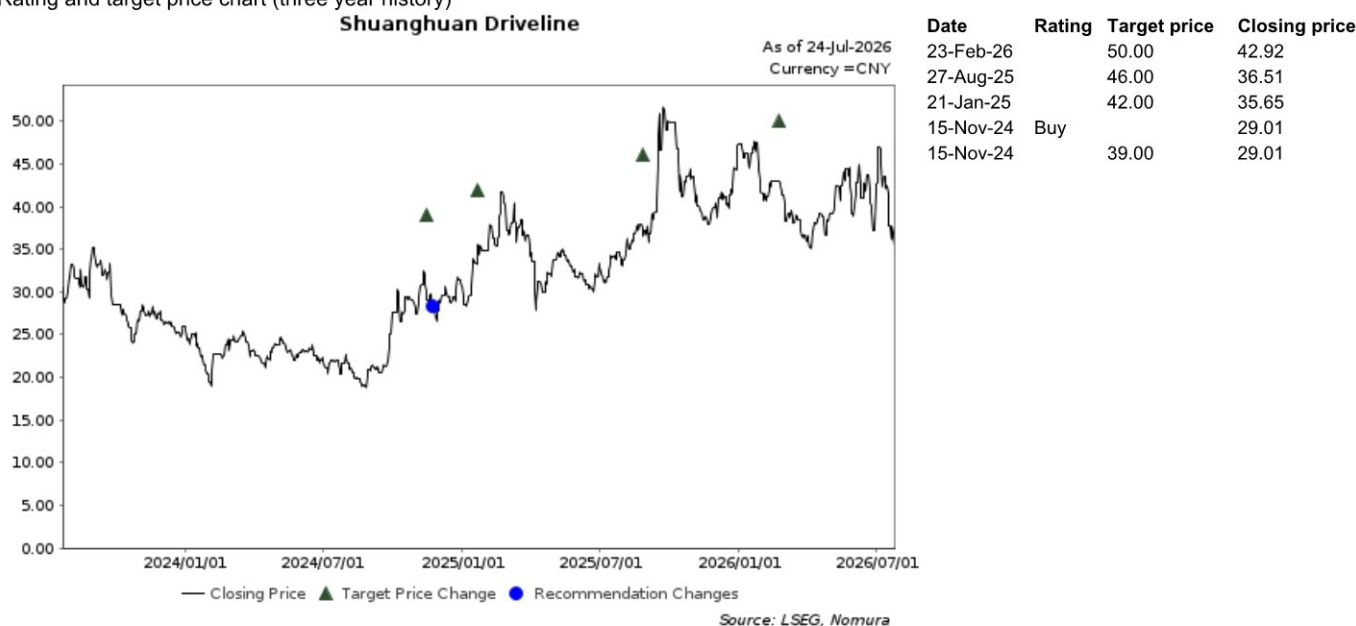
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shuanghuan Driveline	002472 CH	CNY 35.36	24-Jul-2026	Buy	N/A	

Shuanghuan Driveline (002472 CH)

CNY 35.36 (24-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY50 is based on 25x 2027F EPS of CNY1.99, largely in-line with its 14-years historical average P/E at 26x, which is supported by its 2026F-28F EPS CAGR at 16.5%. The benchmark index is CSI300.

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As at 30 June 2026.

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